

Auditing and Attestation

Study Framework
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Test controls (if relying)

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Evaluate evidence

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Audit Evidence

Audit Evidence

Nature of Procedures

- | Inspection of records/documents
- | Inspection of tangible assets
- | Observation
- | Inquiry
- | Confirmation
- | Recalculation
- | Reperformance
- | Analytical procedures

Sufficiency (quantity)

- | Risk level drives sample size
- | Quality of evidence affects quantity

Appropriateness (quality)

- | Relevance to assertion
- | Reliability of source

Internal Control Components (COSO)

Internal Control — Integrated Framework

Control Environment

- Integrity & ethical values
- Board oversight
- Organizational structure

Risk Assessment

- Identify risks
- Analyze likelihood & impact
- Assess fraud risk

Control Activities

- Authorization
- Segregation of duties
- IT general controls

Information & Communication

- Internal reporting
- External reporting

Monitoring Activities

- Ongoing evaluations
- Separate evaluations
- Report deficiencies

Types of Audit Reports

Audit Report Types

Unmodified Opinion

- Standard (clean) report
- Emphasis-of-Matter paragraph
- Other-Matter paragraph

Modified Opinions

- Qualified — except for
- Adverse — material & pervasive
- Disclaimer — unable to obtain evidence

IT Controls Hierarchy

IT Controls

- IT General Controls (ITGCs)
 - Access security (user IDs, passwords, MFA)
 - Program change management (test, approve, migrate)
 - Computer operations (backups, job scheduling)
 - Program development (SDLC, user acceptance testing)
- Application Controls
 - Input controls (edit checks, validation rules)
 - Processing controls (run-to-run totals, limit tests)
 - Output controls (report distribution, reconciliation)
- CAATs (Auditor Tools)
 - Test data
 - Integrated test facility (ITF)
 - Generalized audit software (GAS)
 - Embedded audit modules

Government Auditing Standards Hierarchy

Government Auditing Standards (GAGAS)

- Issued by GAO (Yellow Book)
 - Applies to government entities and federal award recipients
 - Builds on GAAS with additional requirements
- Financial Audits
 - Follow GAAS + GAGAS supplements
 - Additional reports on internal control and compliance
 - Single Audit for entities expending e\$750,000 in federal awards
- Performance Audits
 - Unique to GAGAS (no GAAS equivalent)
 - Evaluate effectiveness, economy, and efficiency
 - Findings: condition, criteria, cause, effect
- Attestation Engagements
 - Follow SSAE + GAGAS supplements
 - Examinations, reviews, AUP on compliance

SQMS No. 1 Components

System of Quality Management

Foundation

- Firm's risk assessment process
- Governance and leadership

Standards

- Relevant ethical requirements
- Acceptance and continuance

Execution

- Engagement performance
- Resources (human, technological, intellectual)

Oversight

- Information and communication
- Monitoring and remediation

Decision Trees

Audit Opinion Selection

Are the financial statements free of material misstatement?

Yes: Is the auditor free from scope limitations?

Yes: Unmodified (clean) opinion

No: Is the scope limitation pervasive?

Yes: Disclaimer of opinion

No: Qualified opinion (scope limitation)

No: Is the misstatement pervasive to the financial statements?

Yes: Adverse opinion

No: Qualified opinion (misstatement)

Control Deficiency Classification

Does a deficiency (or combination) exist in internal control?

Yes: Is there a reasonable possibility that a material misstatement would not be prevented or detected on a timely basis?

Yes: Material weakness — must communicate to management and those charged with governance

No: Is the deficiency important enough to merit attention by those charged with governance?

Yes: Significant deficiency — communicate in writing to those charged with governance

No: Deficiency — may communicate to management

No: No control deficiency to report

Subsequent Events Treatment

Did the event occur before the balance sheet date?

Yes: Did additional evidence about conditions at the balance sheet date arise?

Yes: Type I (recognized): Adjust the financial statements

No: Not a subsequent event requiring adjustment

No: Did the event occur between balance sheet date and report date?

Yes: Does the event provide evidence about conditions at the balance sheet date?

Yes: Type I (recognized): Adjust the financial statements

No: Type II (non-recognized): Disclose in notes, do not adjust

No: Outside the subsequent events window

Going Concern Reporting

Do conditions or events raise substantial doubt about going concern?

Yes: Are management's plans to mitigate the conditions feasible?

Yes: Is substantial doubt alleviated by the plans?

Yes: No modification needed (consider adequacy of disclosure)

No: Has the entity adequately disclosed the going concern uncertainty?

Yes: Unmodified opinion with emphasis-of-matter paragraph

No: Qualified or adverse opinion (GAAP departure)

No: Has the entity adequately disclosed the going concern uncertainty?

Yes: Unmodified opinion with emphasis-of-matter paragraph

No: Qualified or adverse opinion (GAAP departure)

No: No going concern reporting required

Is This Engagement Subject to GAGAS?

Is the entity a government organization or program?

Yes: Subject to GAGAS — apply Yellow Book requirements

No: Does the entity receive federal awards (grants, contracts, cooperative agreements)?

Yes: Does the entity expend \$750,000 or more in federal awards during the fiscal year?

Yes: Single Audit required under GAGAS and Uniform Guidance

No: GAGAS may apply if required by the award terms, but Single Audit is not required

No: Do any laws, regulations, or contractual agreements require a GAGAS audit?

Yes: Subject to GAGAS — apply Yellow Book requirements per the specific mandate

No: GAGAS does not apply — standard GAAS engagement

SOC Report Selection

Are the controls relevant to user entities' financial reporting?

Yes: Does the user auditor need evidence about operating effectiveness over a period?

Yes: SOC 1 Type 2 report

No: SOC 1 Type 1 report (design and implementation only)

No: Is the report intended for general public distribution?

Yes: SOC 3 report (general-use, condensed format)

No: SOC 2 report (detailed, restricted distribution)

Formula Sheet

Overall Materiality	$\text{Benchmark} \times \text{Percentage}$	Common benchmarks: 5% of pre-tax income, 0.5–1% of total revenue, 1–2% of total assets
Performance Materiality	$\text{Overall Materiality} \times 50\text{--}75\%$	Set below overall materiality to reduce the risk that aggregate uncorrected misstatements exceed materiality
Tolerable Misstatement (sampling)	Performance Materiality allocated to account	Maximum misstatement in an account that can be accepted
Sample Size (attributes)	$n = (\text{Reliability Factor}) / (\text{Tolerable Rate} \times \text{Expected Population Deviation Rate})$	Tests of controls: larger samples needed when tolerable rate is low or expected deviations are high
Audit Risk Model	$AR = IR \times CR \times DR$	Audit Risk = Inherent Risk $\times$ Control Risk $\times$ Detection Risk. Auditor controls DR by adjusting nature, timing, and extent of procedures.
MUS Sampling Interval	$\text{Sampling Interval} = \text{Total Population Value} / \text{Sample Size}$	Each nth dollar is a selection point. Larger balances have proportionally higher probability of selection.
MUS Projected Misstatement	$\text{Projected Misstatement} = \text{Tainting \%} \times \text{Sampling Interval}$, where $\text{Tainting \%} = (\text{Book} - \text{Audit}) / \text{Book}$	Projects sample misstatements to the population. Items exceeding the interval use actual misstatement, not projection.

Reference Tables

Management Assertions by Category

Category	Assertion	Description
Transactions	Occurrence	Transactions actually occurred
Transactions	Completeness	All transactions are recorded
Transactions	Accuracy	Amounts and data are correctly recorded
Transactions	Cutoff	Transactions recorded in correct period
Transactions	Classification	Transactions recorded in proper accounts
Balances	Existence	Assets, liabilities, and equity exist
Balances	Rights & Obligations	Entity holds rights to assets; liabilities are obligations
Balances	Completeness	All balances are recorded
Balances	Valuation & Allocation	Recorded at appropriate amounts
Disclosures	Occurrence / Rights	Disclosed events occurred and pertain to entity
Disclosures	Completeness	All required disclosures are included
Disclosures	Classification / Understandability	Information is clearly presented
Disclosures	Accuracy / Valuation	Disclosed information is accurate

Engagement Types Comparison

Feature	Audit	Review	Compilation	Agreed-Upon Procedures
Level of assurance	Reasonable	Limited	None	None (findings only)
Key procedures	Inspect, confirm, observe, recalculate	Inquiry, analytical procedures	Read for obvious errors	Specified by engaging parties
Report opinion	Positive — FS are fairly stated	Negative — nothing came to our attention	No assurance expressed	Report findings only
Independence required	Yes	Yes	No (but must disclose lack)	Yes

Sampling Approaches

Approach	Use	Method
Attribute sampling	Tests of controls	Determine rate of control deviations
Variables sampling (MUS)	Substantive testing	Estimate monetary misstatement using monetary-unit sampling
Classical variables	Substantive testing	Mean-per-unit, difference, or ratio estimation
Non-statistical	Either	Auditor judgment for sample selection and evaluation

PCAOB vs. AICPA GAAS

Feature	PCAOB (Issuers)	GAAS (Non-Issuers)
Standard setter	PCAOB (SEC oversight)	AICPA Auditing Standards Board
Quality oversight	PCAOB inspections (annual or triennial)	Peer review (every 3 years)
Internal control opinion	Required (integrated audit)	Not required
Partner rotation	Required by SOX (5-year rotation)	Not required for most
CAMs/KAMs	Required in audit report	Not required
Auditor tenure disclosure	Required in report	Not required

SOC Report Types

Report	Subject Matter	Distribution	Criteria
SOC 1	Controls relevant to user financial reporting	Restricted	SSAE (AT-C 320)
SOC 2	Security, availability, processing integrity, confidentiality, privacy	Restricted	Trust Services Criteria
SOC 3	Same as SOC 2 (condensed)	General use	Trust Services Criteria

IT Control Categories

Control Type	Scope	Examples
IT General Controls	IT environment (all applications)	Access security, change management, operations, development
Application Controls	Specific application/process	Edit checks, validation rules, run-to-run totals, output reconciliation
Manual Controls	Human-performed procedures	Supervisory review, reconciliations, physical counts

SSARS Engagement Levels

Engagement	Assurance	Report Issued	Independence Required	Key Requirement
Preparation	None	No (legend on each page)	No	Engagement letter + no-assurance legend
Compilation	None	Yes	No (disclose lack)	Read for obvious errors
Review	Limited	Yes	Yes	Inquiry + analytical procedures + rep letter

GAAS vs. GAGAS Requirements

Requirement	GAAS (AICPA)	GAGAS (Yellow Book)
Standard setter	AICPA Auditing Standards Board	U.S. Government Accountability Office (GAO)
Independence rules	AICPA Code + threats/safeguards	More restrictive — prohibits certain nonaudit services permitted under AICPA
CPE requirements	Varies by state board	80 hours/2 years, 24 in government topics

Internal control report	Communicate deficiencies in writing (no separate report)	Separate report on internal control required
Compliance report	Consider laws/regulations (no separate report)	Separate report on compliance with laws and regulations required
Performance audits	Not applicable	Yes — evaluates effectiveness, economy, and efficiency
Single Audit	Not applicable	Required for entities expending e\$750,000 in federal awards

Mnemonics

CRIME

Control environment, Risk assessment, Information & communication, Monitoring, Existing control activities

The five components of the COSO Internal Control Framework. Remember: without CRIME prevention, controls fail.

PERCV

Presentation, Existence, Rights, Completeness, Valuation

The five categories of financial statement assertions (balance sheet). Think: 'I PERCV the balance sheet.'

COCOA

Cutoff, Occurrence, Completeness, cOrrect amount (Accuracy), Account classification

Transaction-level assertions. Think: drink COCOA while reviewing transactions.

AEIOU

Analytical procedures, Enquiry/inquiry, Inspection, Observation, Underlying documentation (reperformance/recalculation)

The types of audit evidence procedures — like vowels, they are fundamental to every engagement.

PAID TIPS

Prior period adjustments, Accounting changes, Irregularities, Disclosure inadequacies, Theft, Illegal acts, Personnel issues, Significant unusual transactions

Red flags that may indicate increased risk of material misstatement or fraud.

POR

Pressure, Opportunity, Rationalization

The fraud triangle — three conditions generally present when fraud occurs. Pressure creates motive, opportunity provides access, rationalization justifies the act.

GRACEIMM

Governance, Risk assessment, Acceptance, Communication, Engagement performance, Information, Monitoring, Resources (reordered as GRACEIMM for memorability, but covers all 8 SQMS No. 1 components)

The eight components of a firm's quality management system under SQMS No. 1. A firm without GRACEIMM has no quality assurance.

ROIA

Risk of Overreliance, Risk of Incorrect Acceptance (effectiveness risks); Risk of Underreliance, Risk of Incorrect Rejection (efficiency risks)

The four types of sampling risk. ROIA helps remember the two dangerous effectiveness risks: overreliance on controls and incorrect acceptance of a misstated balance.

CAM

Communicated to audit committee, Accounts/disclosures are material, Matter involved challenging judgment

The three criteria for Critical Audit Matters in PCAOB reports. All three must be met for a matter to be reported as a CAM.